

Interest Rate	40L Home loan, over 20 years, the interest payments will be
10%	52,64,208
9%	46,37,369

Over 6L in interest payments (EMI) if you don't have credit history

Becoming rich is about controlling the big expenditures as much as getting big sources of income.

Missing a due date: As you realize the wonders being diligent can do, simultaneously missing a payment affects the score adversely. It impacts you financially with late fees and high interest rates. While you can negotiate into reversing the late fees, the credit score takes time to sort out. During the period of repair, a small difference in the score can mean an extra 2L in interest payments for your home. Not letting your guard slip with due dates makes more sense as getting your score on track can take anytime between 12-24 months. Plus, that red-mark on your credit history will remain forever.

But I don't want to scare you into thinking how much a missed payment would affect your credit score or what percentage of your maximum credit you should utilize on your card. Disregarding the clichéd fears, I want to encourage utilizing credit cards through the 80-20 principle. Right now though, the fundamental la-vie is to spend within means and pay the due balance every month. As you've etched '*I will pay the entire due amount every month*' into your subconscious, let's move onto choosing a card.

How to choose a card?

Make no mistake, owning a credit card is prestige play. Everyone looks forward to that moment of sinister butterflies when you get approved and have the plastic in your wallet. If you've never had a card before or already own one, there are a few things that should be in your consideration:

Never accept the card from a solicitous call: If you have a checking account (salary deposited account) with a bank, you're not far from a phone call. The person on the other end will goad you into accepting a card but it's often on unscrupulous terms. When the caller says, '*you've deserved this card*' let's talk real: most youngsters would be glad we got to a stature